

**BEFORE THE
FEDERAL MARITIME COMMISSION**

AENEAS EXPORTING LLC,

Claimant,

v.

Docket No. 20-11

CARLO SHIPPING, INC.,

**Erin M. Wirth, Chief
Administrative Law Judge**

Respondent.

PARTIES' JOINT STATUS REPORT

Per Chief Administrative Law Judge Wirth's August 24, 2020 order in the above-captioned matter (the "Order"), the parties, by and through their undersigned attorneys, hereby provide the following Joint Status Report and respond to the Order's enumerated questions as follows:

- 1. Have the 24 containers identified in Exhibit A been released to Complainant?**

Claimant's Response:

Yes, the 24 containers have been released to Claimant. However, Respondent initially agreed to release the containers pursuant to a July 17, 2020 settlement agreement, which required the release of 10 specified containers with 24 hours. This agreement was negotiated and fully executed by both parties (the "July 17, 2020 Settlement Agreement," attached as **Exhibit 1**). The timing of the releases was critical because Claimant's customers were awaiting delivery of the containers in Libya, and any delay caused by Respondent's detention of those containers threatened to put Claimant out of business. Unfortunately, Respondent failed to comply with the July 17, 2020 Settlement Agreement and did not release the specified containers within 24 hours.

Respondent's refusal to comply with the terms of the July 17, 2020 Settlement Agreement forced Claimant to negotiate new settlement terms—those memorialized in Exhibit A, the July 28, 2020 email (the "July 28, 2020 Settlement Terms")—because the 24 containers could only be released with Respondent's cooperation. Claimant agreed to the new terms in order to save its business and avoid losing customers and incurring additional demurrage charges and penalties. Only after securing the July 28, 2020 Settlement Terms did Respondent finally release the containers, on or about July 31, 2020.

Respondent's Response:

Yes.

2. **Have the payments from Complainant to Respondents identified in Exhibit A been released to Respondent?**

Claimant's Response:

Yes, Claimant has released the identified payments to Respondent per the July 28, 2020 Settlement Terms. Claimant agreed to release \$40,000 to Respondent even though the actual amount owed for Respondent's services was only about \$28,000. Initially, Respondent demanded a payment of \$66,000; Claimant agreed to release \$40,000 in order to save its business and avoid losing customers and incurring additional demurrage charges and penalties.

Respondent's Response:

Yes.

3. **Since the motion was filed, have the parties reached an agreement regarding the outstanding demurrage charges and related penalties?**

Claimant's Response:

No, the parties have not reached any agreement regarding the outstanding demurrage charges and related penalties. As a result of Respondent's months-long detention of Claimant's 24

containers, approximately \$60,000 in demurrage charges and penalties has been incurred in Benghazi, Libya. On or about July 28, 2020, Respondent committed to making a “good-faith effort” to have those charges reduced or waived. However, on August 6, 2020, Respondent, through its attorney, informed Claimant that it would no longer make any efforts to have those charges reduced or waived and that Claimant would have to deal with the charges itself. The amount of the Libyan charges and penalties exceeds the entire settlement payment Claimant made to Respondent for release of the 24 containers.

Respondent’s Response:

Before the motion to dismiss this case was filed, we reached an agreement and later reached a revised agreement that also included the removal of several unregistered vehicles that Aeneas had left at my warehouse for several months without paying any storage fees. I asked Hapag-Lloyd to waive or reduce their Libyan fees for the Aeneas cargo. I agreed to pay all charges in the US, and Aeneas agreed to pay the charges in Libya. This is all I agreed to do about the demurrage charges and related penalties under either agreement.

As part of the revised agreement, we were both supposed to sign a release so there would be no further litigation about any pending claims between us or involving the vehicles. After I signed the release, Aeneas claimed for the first time that he would not sign the release unless he could keep the right to sue me based on the original settlement. I would not have released the Aeneas cargo or let Aeneas remove the vehicles from my warehouse if I knew Aeneas planned to sue me again. This case should be dismissed and Aeneas should be barred from raising any claims about the 24 containers or destination fees. Aeneas would not have owed so many fees if it had paid me what it owed me back in February. We agreed on a global settlement and this case should be dismissed.

4. **Have mutual releases been exchanged between the parties and signed by all parties? If so, please provide a copy of the mutual release. If not, the parties should address whether dismissal without prejudice would be more appropriate.**

Claimant's Response:

No, mutual releases have not been exchanged or signed. While Claimant did agree to dismiss this action—along with a related federal case in New Jersey—with prejudice in exchange for release of the 24 containers, Claimant expressly reserved its right to bring suit for Respondent's breach of the July 17 Settlement Agreement. Because Respondent refused to include carve-out language in the releases for breach of the July 17 Settlement Agreement, the parties were not able to finalize or execute mutual releases. Nevertheless, Claimant sought dismissal of this action with prejudice in accordance with the July 28, 2020 Settlement Terms. Claimant does not intend to waive or release its right to seek damages for Respondent's breach of the July 17, 2020 Settlement Agreement.

While Claimant would agree to dismiss this action without prejudice and concurs that such dismissal would be appropriate, the July 28, 2020 Settlement Terms require it to seek dismissal with prejudice. In any event, Claimant intends to initiate a new proceeding at some future date based on Respondent's breach of the July 17 Settlement Agreement.

Respondent's Response:

No. Respondent signed a proposed settlement agreement with mutual releases. Complainant seeks to retain certain a claim arising out of an alleged breach of a settlement agreement, and will not sign unless he retains the right to pursue that claim. Respondent relied on Complainant's representation that global mutual releases would be signed when he performed under the revised settlement agreement. A dismissal with prejudice is appropriate.

Dated: September 9, 2020

**BENESCH, FRIEDLANDER,
COPLAN & ARONOFF LLP**

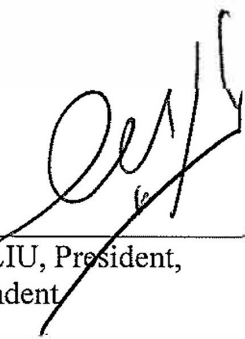
By: /s/ Trevor J. Illes

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Counsel for Claimant Aeneas Exporting LLC

Carlo Shipping, Inc.

Dated: 9/3/20

By: 
CARLOS FELIU, President,
Pro Se Respondent

811 Bond Street
Elizabeth, NJ 07201
Tel: 908-351-5488
Fax: 908-351-5499

EXHIBIT 1

July 17, 2020

*****CONFIDENTIAL*****

VIA EMAIL

Luis R. Sanchez, Esq.
902 Second Ave.
Elizabeth, NJ 07201
luisrsanchezesq@aol.com

Re: *Agreement Between Aeneas Exporting LLC and CSI, Inc.*

Dear Luis,

Based upon our recent discussions and our clients' mutual interest in avoiding further litigation, our undersigned clients (the "Parties") hereby enter into these terms and agree as follows:

- (1) Aeneas Exporting will immediately deposit \$40,000 (the "Trust Amount") into a trust account held by Benesch, Friedlander, Coplan & Aronoff LLP. The Trust Amount will be held for a period of 30 days subject to the conditions set forth in this Agreement.
- (2) Within 24 hours of confirmation that Aeneas Exporting has deposited the Trust Amount, CSI, Inc. will release for delivery ten (10) of the containers which are currently being detained in Benghazi, Libya and which are the subject of the underlying lawsuit. The ten containers CSI, Inc. agrees to release are identified as follows:
 - TRLU7121803 - NAM3882852 CMA CGM;
 - CMAU5874261 - NAM3885165 CMA CGM;
 - FSCU7169603 - 66031689 Hapag-Lloyd;
 - TRLU7499753 - 66031689 Hapag-Lloyd;
 - HLBU2878772 - 66031689 Hapag-Lloyd;
 - HLBU1714075 - 66031689 Hapag-Lloyd;
 - GLDU7477260 - 66696049 Hapag-Lloyd;
 - HLXU8298465 - 67031692 Hapag-Lloyd;
 - FCIU8526970 - 66696049 Hapag-Lloyd;
 - HLBU2882047 - 62696819 Hapag-Lloyd

- (3) Within seven (7) days of the execution of this Agreement, CSI, Inc. will retain, at its own expense, a qualified, certified accountant to review Aeneas Exporting's account to determine the amount of Aeneas Exporting's outstanding balance, if any, owed to CSI, Inc. for shipping or freight-forwarding services performed to date. The accountant will provide documentation to Aeneas Exporting confirming the results of her review.
- (4) Upon receiving the results of the accountant's review, including the supporting documentation, Aeneas Exporting will have seven (7) days to independently verify such results. If, at the end of that independent-review process, Aeneas Exporting confirms the results of the accountant's review, the agreed-upon outstanding debt owed by Aeneas Exporting (the "Agreed Balance") will be deducted from the Trust Amount and paid to CSI, Inc. The remainder of the Trust Amount, if any, will be returned to Aeneas Exporting.
- (5) Within 24 hours of receipt of payment of the Agreed Balance, CSI, Inc. will release the remaining 14 containers being detained in Benghazi, Libya. If the accountant's review indicates that there is no balance owed by Aeneas Exporting, CSI, Inc. will release the remaining 14 containers within 24 hours of completion of the accountant's review. The 14 containers to be released are identified as follows:
 - 65030042 - HLXU6562558 - Hapag-Lloyd;
 - 65030042 - HLXU8267211 - Hapag-Lloyd;
 - 65030042 - TGBU5749403 - Hapag-Lloyd;
 - 65030042 - TGHU8999223 - Hapag-Lloyd;
 - 65030042 - HLXU8239539 - Hapag-Lloyd;
 - 65030042 - UACU5804441 - Hapag-Lloyd;
 - 65030042 - TCNU1758270 - Hapag-Lloyd;
 - 65030042 - DFSU7104778 - Hapag-Lloyd;
 - 66031689 - TGHU6210892 - Hapag-Lloyd;
 - 61362035 - HLBU2156321 - Hapag-Lloyd;
 - 61362035 - HLBU2460648 - Hapag-Lloyd;
 - 67031692 - BMOU6608915 - Hapag-Lloyd;
 - 66031689 - HLBU2908917 - Hapag-Lloyd;
 - NAM3882372 - CAIU9321678 - CMA CGM
- (6) In the event Aeneas Exporting is not able to verify the results of the accountant's review, or if the Parties cannot agree as to the full amount of Aeneas Exporting's outstanding balance, any portion the Parties agree is owed will be deducted from the Trust Amount and paid to CSI, Inc.
- (7) If the Parties are unable to agree as to the amount of Aeneas Exporting's outstanding balance after Aeneas Exporting has conducted its independent review,

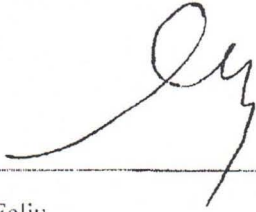
the Parties will submit the question of the amount of Aeneas Exporting's outstanding balance to an independent New Jersey mediator, to be selected jointly by the Parties, within seven (7) days of the completion of Aeneas Exporting's independent review. The Parties agree to expedite the mediator's review and will endeavor to seek a decision from the mediator as to the amount of Aeneas Exporting's outstanding balance within seven (7) days of the mediator's appointment.

- (8) By entering into this Agreement, neither party waives or relinquishes any rights it now has, including the right to seek emergency injunctive relieve. This Agreement shall not be deemed a waiver of such rights or used to argue, in any proceeding, that emergency relief is unnecessary or inappropriate. The Parties agree not to seek injunctive relief while this Agreement is in effect and each Party is performing its obligations under this Agreement in good faith.
- (9) This Agreement is not assignable by either party.
- (10) This Agreement is fully integrated and constitutes and comprises the entire agreement and understanding between the Parties relating to the subject matter of this Agreement.

SIGNATURE PAGE TO FOLLOW

By affixing my signature below, I hereby agree to the above binding terms.


Amy Housse
On behalf of
Aeneas Exporting LLC
2511 E 2nd St Apt 16
Bloomington, IN 47401
773 814 8912
aeneasexportingllc@gmail.com



Carlos Felio

On behalf of
CSI, Inc.